



Economies and diseconomies of scale

Economies of scale are one of the advantages of large-scale production and result in a lower unit cost of each item produced. However, costs can also go up as the operation grows, resulting in diseconomies of scale.

How it works

Economies of scale is a simple concept: the more items produced or handled, the cheaper the average (unit) cost, as efficiencies and fixed costs are shared across all items. This gives a business a competitive advantage.

Supermarkets, for example, buy food in bulk at low unit costs, which they pass on to consumers. However, diseconomies of scale may occur when the operation grows because of high administration costs, wastage from lack of control, or lack of employee productivity.

Economies of scale

While it may be inefficient for a small dairy to supply milk to a supermarket, it is cost-effective for a large dairy operation producing thousands of bottles. If a delivery is too large, though, wastage can creep in due to associated costs.

